October 23, 2026

# Shriram Finance Limited: Ratings confirmed as final for PTCs backed by vehicle loan receivables issued by Sansar Aug 2026 II Trust

## Summary of rating action

| Trust name | Instrument* | Current rated amount (Rs. crore) | Rating action | Financial Sector Regulator# |
|---|---|---|---|---|
| **Sansar Aug 2026 II Trust** | Series A PTCs | 939.18 | [ICRA]AAA(SO); provisional rating confirmed as final | RBI |
| | Equity Tranche PTCs | 49.43 | [ICRA]A-(SO); provisional rating confirmed as final | RBI |

*Instrument details are provided in Annexure I

*# SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI*

## Rationale

ICRA had assigned a provisional rating to the pass-through certificates (PTCs) issued by Sansar Aug 2026 II Trust under a securitisation transaction originated by Shriram Finance Limited {SFL/Originator; rated [ICRA]AAA(Stable)}. The PTCs are backed by a pool of vehicle loan receivables originated by SFL with an aggregate principal outstanding of Rs. 988.61 crore (pool receivables of Rs. 1,228.72 crore). SFL is the servicer for the transaction.

Since the executed transaction documents are in line with the rating conditions and the legal opinion for the transaction has been provided to ICRA, the said ratings have now been confirmed as final.

**Pool Performance Summary**

The first payout for the pool is scheduled on October 18, 2026.

## Transaction structure

The transaction has a two-tranche structure, wherein Series A PTCs will be equivalent to 95% of the initial pool principal and Equity tranche PTCs, equivalent to 5% of the initial pool principal, which will be subordinated to the Series A PTCs. As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout to Series A PTCs. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) firstly to Series A PTCs and then to Equity tranche PTCs (post Series A PTCs is fully paid off). Any surplus EIS, after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. Any prepayment in the pool would be used for the prepayment of Series A PTCs principal till it is fully paid off and then to Equity Tranche PTCs. The CC, if utilised in any month, will not be replenished from EIS in subsequent months.

The credit enhancement available in the structure is in the form of (i) a CC of 5.00% of the initial pool principal, amounting to Rs. 49.43 crore, provided by the Originator, (ii) Subordination of 5.00% of the initial pool principal in the form of Equity tranche PTCs for Series A PTCs and (ii) the EIS of 14.36% of the initial pool principal for both the tranches.

## Key rating drivers and their description

### Credit strengths

**Adequate servicing capability of the Originator** - SFL, which is also servicing the loans in the transaction, has an established track record in pre-owned commercial vehicle financing business of more than four decades with adequate underwriting policies and collection procedures across a wide geography. It also has satisfactory processes for servicing the loan accounts in the securitised pools.

**Granular pool supported by the presence of credit enhancement** – The pool is granular as on the cut-off date and comprises 16,001 contracts, with top 10 contracts forming ~0.44% of the initial pool principal, thereby reducing the exposure to any single borrower. Further, the credit enhancement available in the form of cash collateral (CC) and excess interest spread (EIS) would absorb some amount of the losses in the pool and provide support in meeting the PTC payouts.

**Seasoned contracts in the pool** – The pool has seasoning of ~11.5 months as of the cut-off date thereby reflecting the borrowers' relatively better credit profile and repayment track record.

### Credit challenges

**Risks associated with lending business** – The pool's performance would remain exposed to macroeconomic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans.

## Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

For the current pool, ICRA has estimated the shortfall in the pool principal collection during its tenure at 4.00% with certain variability around it. The average prepayment rate for the underlying pool is modelled in the range of 4.8% to 18.0% per annum. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final ratings for the instruments.

## Details of key counterparties

The key counterparties in the rated transaction are as follows:

| Transaction name | Sansar Aug 2026 II Trust |
|---|---|
| **Originator** | Shriram Finance Limited |
| **Servicer** | Shriram Finance Limited |
| **Trustee** | CTL Trusteeship Limited |
| **CC holding Bank** | Sumitomo Mitsui Banking Corporation (SMBC) |
| **Collection and payout account Bank** | Sumitomo Mitsui Banking Corporation (SMBC) |

## Liquidity position

**For Series A PTCs: Strong**

The liquidity position for PTC Series A1 is strong after factoring in the credit enhancement available for meeting the promised payouts to the investor. The total credit enhancement would be 4.50 times the estimated loss in the pool.

**For Equity Tranche PTCs: Strong**

The liquidity position for Equity tranche PTCs is strong after factoring in the credit enhancement available for meeting the promised payouts to the investor. The total credit enhancement would be 3.00 times the estimated loss in the pool.

## Rating sensitivities

**Positive factors** – Not applicable for Series A PTCs. Sustained strong collection performance of the underlying pool of contracts (monthly collection efficiency >95%), leading to lower-than-expected delinquency levels, and an increase in the cover available for future investor payouts from the credit enhancement would result in a ratings upgrade.

**Negative factors** - The sustained weak collection performance of the underlying pool of contracts (monthly collection efficiency <90%), leading to higher-than-expected delinquency levels and higher credit enhancement utilisation levels, would result in a ratings downgrade. Weakening in the credit profile of the servicer (SFL) could also exert pressure on the ratings.

## Analytical approach

The rating action is based on the trustee confirming compliance with the terms of the transaction and the executed transaction documents being in line with the terms initially shared with ICRA.

| Analytical approach | Comments |
|---|---|
| **Applicable rating methodologies** | Securitisation Transactions |
| **Parent/Group support** | Not applicable |
| **Consolidation/Standalone** | Not applicable |

## About the originator

Shriram Finance Limited [SFL; erstwhile Shriram Transport Finance Company Limited (STFC)], incorporated in 1979, is a part of the Shriram Group of companies and an upper layer non-banking financial company (NBFC). Based on the National Company Law Tribunal (NCLT) order dated November 14, 2022, the operations of Shriram City Union Finance Limited (SCUF) and Shriram Capital Limited were merged with STFC, which was rechristened Shriram Finance Limited on November 30, 2022.

SFL enjoys a leadership position in preowned commercial vehicle finance and has a pan-India presence with more than 3,700 branches and other offices. As on December 31, 2025, SFL had a standalone AUM of Rs. 2.92 lakh crore comprising commercial vehicle finance (46%), passenger vehicle finance (22%), loans to micro, small and medium-sized enterprises (MSMEs; 14%), construction equipment and farm equipment finance (7%), two-wheeler loans (6%), personal loans (3%) and gold loans (2%).

## Key financial indicators

| Shriram Finance Limited (standalone) | FY2024 | FY2025 | FY2026 |
|---|---|---|---|
| **Total income** | 34,998 | 41,859 | 48,178 |
| **Profit after tax** | 5,979 | 7,190 | 9,998 |
| **Total managed assets** | 2,52,802 | 3,10,141 | 3,40,976 |
| **Gross stage 3 assets** | 5.5% | 4.6% | 4.6% |
| **Capital-to-risk weighted assets ratio** | 20.3% | 20.7% | 20.4% |

*Source: Company, ICRA Research; All ratios as per ICRA's calculations; Amount in Rs. crore*

*Total managed assets = Total assets + Impairment allowance + Direct assignment – Goodwill.*

## Status of non-cooperation with previous CRA: Not applicable

## Any other information: None

## Rating history for past three years

| Trust name | Current rating (FY2027) | | | | | Chronology of rating history for the past 3 years | | |
|---|---|---|---|---|---|---|---|---|
| | Instrument | Initial rated amount (Rs. crore) | Current rated amount (Rs. crore) | Date & rating in FY2027 | | Date & rating in FY2026 | Date & rating in FY2025 | Date & rating in FY2024 |
| | | | | Oct 23, 2026 | Sept 10, 2026 | - | - | - |
| **Sansar Aug 2026 II Trust** | Series A PTCs | 939.18 | 939.18 | **[ICRA]AAA(SO)** | **Provisional [ICRA]AAA(SO)** | - | - | - |
| | Equity Tranche PTCs | 49.43 | 49.43 | **[ICRA]A-(SO)** | **Provisional [ICRA]A-(SO)** | - | - | - |

## Complexity level of the rated instrument

| Instrument | Complexity indicator |
|---|---|
| **Series A PTCs** | Highly Complex |
| **Equity Tranche PTCs** | Highly Complex |

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: Click here

## Annexure I: Instrument details

| Trust name | Instrument | Date of issuance/ Sanction | Coupon rate (p.a.p.m.) | Maturity date | Amount rated (Rs. crore) | Rating | Financial Sector Regulator# |
|---|---|---|---|---|---|---|---|
| **Sansar Aug 2026 II Trust** | Series A PTCs | September 17, 2026 | 7.58%* | February 18, 2031 | 939.18 | [ICRA]AAA(SO) | RBI |
| | Equity Tranche PTCs | | | | 49.43 | [ICRA]A-(SO) | RBI |

*Source: Company; *Fixed rate*

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## Annexure II: List of entities considered for consolidated analysis

Not applicable

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## ABOUT ICRA LIMITED

ICRA Limited was set up in 1991 by leading financial/investment institutions, commercial banks and financial services companies as an independent and professional investment Information and Credit Rating Agency.

Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international Credit Rating Agency Moody's Investors Service is ICRA's largest shareholder.

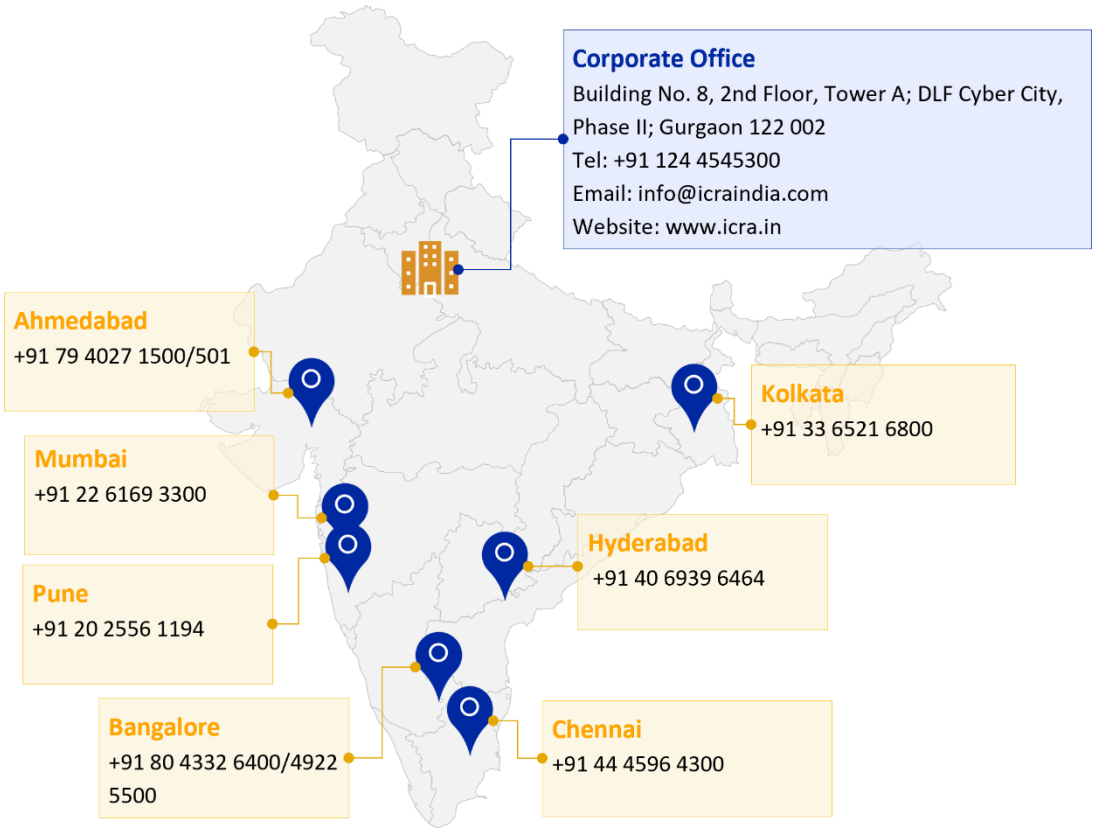
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